PJSC “Polyus”

Published interim condensed consolidated financial statements

for the six months ended 30 June 2024 (unaudited)

CONTENTS	**PAGE**

PJSC "POLYUS"

MANAGEMENT RESPONSIBILITY STATEMENT FOR THE PREPARATION AND APPROVAL OF THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2024 (UNAUDITED)

Management of PJSC "Polyus" ("Company") and its subsidiaries ("group") is responsible for the preparation of the published interim condensed consolidated financial statements in accordance with the basis of preparation described in Note 2.2 to the published interim condensed consolidated financial statements.

In preparing the published interim condensed consolidated financial statements, Management is responsible for:

- properly selecting and applying accounting policies;
- presenting information, including accounting policies, in a manner consistent with the basis of preparation described in more detail in Note 2.2, which does not lead to imposition of additional sanctions by foreign states, national unions and (or) associates, state-owned (interstate) institutions of foreign states or of national unions and (or) associates targeting the group and (or) other persons;
- making an assessment of the group's ability to continue as a going concern.

Management is also responsible for:

- designing, implementing and maintaining an effective and sound system of internal controls, throughout the group;
- maintaining adequate accounting records that are sufficient to show and explain the group's transactions and disclose with reasonable accuracy at any time the published interim condensed consolidated financial position of the group, and which enable them to ensure that the published consolidated financial statements of the group comply with the basis of preparation described in Note 2.2 to the published interim condensed consolidated financial statements;
- maintaining statutory accounting records in compliance with legislation and accounting standards in the jurisdictions in which the group operates;
- taking such steps as are reasonably available to them to safeguard the assets of the group; and
- preventing and detecting fraud and other irregularities.

The published interim condensed consolidated financial statements of the group for the six months ended 30 June 2024 were approved by Management on 27 August 2024.

By order of the Management,

Vostokov A.A.
Chief Executive Officer

Moscow, Russia
27 August 2024

ДРТ
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REPORT ON REVIEW OF PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

To the Shareholders and the Board of Directors of Public Joint Stock Company "Polyus":

Introduction

We have reviewed the accompanying published interim condensed consolidated statement of financial position of PJSC "Polyus" and its subsidiaries (the "group") as of 30 June 2024, and the related published interim condensed consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the six months then ended, and selected explanatory notes. Management is responsible for the preparation and presentation of these published interim condensed consolidated financial statements in accordance with the basis of preparation described in Note 2.2 *Basis of preparation of published interim condensed consolidated financial statements* to the published interim condensed consolidated financial statements. Our responsibility is to express a conclusion on these published interim condensed consolidated financial statements based on our review.

Scope of Review

We conducted our review in accordance with International Standard on Review Engagements 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of published interim condensed financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying published interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with the basis of preparation disclosed in Note 2.2 *Basis of preparation of published interim condensed consolidated financial statements* to the published interim condensed consolidated financial statements.

Emphasis of Matter – Basis of Preparation and Restriction on Use

We draw attention to Note 2.2 *Basis of preparation of published interim condensed consolidated financial statements* to the published interim condensed consolidated financial statements, which describes the basis of preparation. The purpose of published interim condensed consolidated financial statements is to comply with the requirements for the publication of the group's interim consolidated financial results established within the framework of the requirements of Federal Law № 208 “On Joint-Stock Companies” dated 26 December 1995 as well as taking into account the recommendations set out in Decree of the Government of the Russian Federation №1102 dated 4 July 2023 “On specific aspects of disclosure and (or) provision of information, subject to disclosure and (or) provision in accordance with the requirements of the Federal Law “On Joint Stock Companies” and the Federal Law “On the Securities Market” regarding restrictions on the level of financial information disclosure in such a way that the information presented in the accompanying published interim condensed consolidated financial statements could not lead to imposition of additional sanctions by foreign states, national unions, associates and state-owned (interstate) institutions targeting the Group and (or) other persons. As a result, the published condensed interim consolidated financial statements do not comply with International Financial Reporting Standards (“IFRSs”) and do not comply with International Accounting Standard 34 “Interim Financial Reporting” (“IAS 34”) and may not be suitable for another purpose. Our conclusion is not modified in respect of this matter.

Ilya Ryabtsev
Engagement partner

AO “Business Solutions and Technologies”
(ORNZ № 12006020384)

27 August 2024

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS FOR THE SIX MONTHS ENDED 30 JUNE 2024 (UNAUDITED)

(in millions of US Dollars)

	Notes	Six months ended 30 June 2024	Six months ended 30 June 2023*
Continuing operations			
Gold sales	5	2,688	2,314
Other sales		45	46
Total revenue		**2,733**	**2,360**
Cost of gold sales	6	(723)	(695)
Cost of other sales		(43)	(41)
Total cost		**(766)**	**(736)**
Gross profit		**1,967**	**1,624**
Selling, general and administrative expenses	7	(176)	(220)
Other expenses	8	(37)	(56)
Operating profit		**1,754**	**1,348**
Finance costs	9	(304)	(93)
Interest income		70	27
Gain / (loss) on revaluation of derivative financial instruments and investments	10	99	(466)
Foreign exchange gain / (loss)		203	(162)
Profit from continuing operations before income tax		**1,822**	**654**
Income tax expense	11	(372)	(101)
Profit from continuing operations		**1,450**	**553**
Discontinued operations			
Profit from discontinued operations	12	133	5
Profit for the period		**1,583**	**558**
Profit / (loss) for the period attributable to:			
Shareholders of the Company		1,585	559
Non-controlling interests		(2)	(1)
		1,583	**558**
Weighted average number of ordinary shares ’000			
- for basic earnings per share	17	94,701	135,424
- for diluted earnings per share	17	95,001	136,123
Earnings per share from continuing and discontinued operations (US Dollar per share)			
- basic		16.74	4.13
- diluted		16.68	4.11
Earnings per share from continuing operations (US Dollar per share)			
- basic		15.33	4.08
- diluted		15.28	4.06

* The comparative information for the six months ended 30 June 2023 reflects adjustments made in connection with the presentation of the effect of discontinued operations (Note 12)

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 30 JUNE 2024 (UNAUDITED)

(in millions of US Dollars)

	Six months ended 30 June	
	2024	**2023**
Profit for the period	**1,583**	**558**
Other comprehensive income / (loss) for the period		
Items that may be subsequently reclassified to profit or loss:		
Effect of translation to presentation currency	24	(1,085)
Other comprehensive income / (loss) for the period	**24**	**(1,085)**
Total comprehensive income / (loss) for the period	**1,607**	**(527)**
Total comprehensive income / (loss) for the period attributable to:		
Shareholders of the Company	1,609	(524)
Non-controlling interests	(2)	(3)
	1,607	**(527)**

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AT 30 JUNE 2024 (UNAUDITED)

(in millions of US Dollars)

	Notes	30 Jun. 2024	31 Dec. 2023
Assets			
Non-current assets			
Intangible assets		112	122
Property, plant and equipment	13	5,253	4,899
Inventories	14	1,302	1,018
Deferred tax assets		46	71
Derivative financial instruments and investments	19	118	70
Other receivables and non-current assets		52	21
		6,883	**6,201**
Current assets			
Inventories	14	1,058	925
Deferred expenditure		4	16
Derivative financial instruments and investments	19	61	47
Advances paid to suppliers and prepaid expenses	15	132	109
Trade and other receivables	15	117	130
Taxes receivable	15	138	130
Income tax prepaid		10	15
Bank deposits		1	-
Cash and cash equivalents	16	2,592	1,711
		4,113	**3,083**
Total assets		**10,996**	**9,284**
Equity and liabilities			
Capital and reserves			
Share capital	17	5	5
Additional paid-in capital	17	2,369	2,377
Treasury shares	17	(6,475)	(6,493)
Translation reserve		(4,100)	(4,124)
Other reserves		7	7
Retained earnings		9,199	7,594
Equity attributable to shareholders of the Company		**1,005**	**(634)**
Non-controlling interests		5	7
		1,010	**(627)**
Non-current liabilities			
Borrowings	18	8,465	8,004
Derivative financial instruments	19	31	74
Deferred tax liabilities		427	259
Site restoration, decommissioning and environmental obligations		29	47
Other non-current liabilities		30	33
		8,982	**8,417**
Current liabilities			
Borrowings	18	400	649
Derivative financial instruments	19	100	332
Trade and other payables	20	387	390
Taxes other than income tax payable	20	79	72
Income tax payable		38	51
		1,004	**1,494**
Total liabilities		**9,986**	**9,911**
Total equity and liabilities		**10,996**	**9,284**

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS ENDED 30 JUNE 2024 (UNAUDITED)

(in millions of US Dollars)

		Equity attributable to shareholders of the Company								
	Notes	**Share capital**	**Additional paid-in capital**	**Treasury shares**	**Other reserves**	**Translation reserve**	**Retained earnings**	**Total**	**Non-controlling interests**	**Total**
Balance at 31 December 2022		**5**	**2,390**	**(133)**	**6**	**(2,843)**	**5,858**	**5,283**	**10**	**5,293**
Profit / (loss) for the period		-	-	-	-	-	559	**559**	(1)	**558**
Other comprehensive loss		-	-	-	-	(1,083)	-	**(1,083)**	(2)	**(1,085)**
Total comprehensive income / (loss)		**-**	**-**	**-**	**-**	**(1,083)**	**559**	**(524)**	**(3)**	**(527)**
Equity-settled share-based compensation (LTIP), net of tax		-	20	-	-	-	-	**20**	-	**20**
Shares awarded under LTIP		-	(36)	-	-	-	6	**(30)**	-	**(30)**
Balance at 30 June 2023		**5**	**2,374**	**(133)**	**6**	**(3,926)**	**6,423**	**4,749**	**7**	**4,756**
Balance at 31 December 2023		**5**	**2,377**	**(6,493)**	**7**	**(4,124)**	**7,594**	**(634)**	**7**	**(627)**
Profit / (loss) for the period		-	-	-	-	-	1,585	**1,585**	(2)	**1,583**
Other comprehensive income / (loss)		-	-	-	-	24	-	**24**	-	**24**
Total comprehensive income / (loss)		-	-	-	-	24	1,585	**1,609**	(2)	**1,607**
Equity-settled share-based compensation (LTIP), net of tax	17	-	14	-	-	-	-	**14**	-	**14**
Shares awarded under LTIP	17	-	(22)	18	-	-	(8)	**(12)**	-	**(12)**
Increase of ownership in subsidiaries		-	-	-	-	-	-	**-**	(3)	**(3)**
Decrease of ownership in subsidiaries		-	-	-	-	-	28	**28**	-	**28**
Other		-	-	-	-	-	-	**-**	3	**3**
Balance at 30 June 2024		**5**	**2,369**	**(6,475)**	**7**	**(4,100)**	**9,199**	**1,005**	**5**	**1,010**

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED 30 JUNE 2024 (UNAUDITED)

(in millions of US Dollars)

	Notes	Six months ended 30 June 2024	Six months ended 30 June 2023
Operating activities			
Profit for the period		**1,583**	**558**
Adjustments for:			
Income tax expense		376	101
Finance costs	9	305	94
Interest income		(71)	(27)
Gain on disposal of discontinued operations	12	(141)	-
(Gain) / loss on revaluation of derivative financial instruments and investments	10	(99)	466
Depreciation and amortisation		215	236
Foreign exchange (gain) / loss		(203)	156
Other		20	42
		1,985	**1,626**
Movements in working capital			
Inventories		(208)	(245)
Deferred expenditure		(14)	(28)
Trade and other receivables		42	(72)
Advances paid to suppliers and prepaid expenses		(22)	9
Taxes receivable		(9)	(1)
Trade and other payables		(17)	(38)
Taxes other than income tax payable		3	15
Cash flows from operations		**1,760**	**1,266**
Income tax paid		(209)	(198)
Net cash generated by operating activities		**1,551**	**1,068**
Investing activities			
Purchase of property, plant and equipment and intangible assets		(579)	(508)
Interest received		66	23
Loans issued		(40)	(32)
Proceeds on disposal of subsidiaries, net of cash disposed	12	237	50
Proceeds from repayment of loans receivable		-	90
Other		4	-
Net cash utilised in investing activities		**(312)**	**(377)**
Financing activities			
Proceeds from borrowings	18	588	267
Repayment of borrowings	18	(343)	(338)
Interest paid		(288)	(89)
Commissions paid on borrowings		(8)	-
Payments of lease liability		(8)	(9)
Net proceeds on exchange of interest payments under cross currency swaps	9	20	15
Payments on expiration of cross-currency swaps	19	(248)	-
Cash used to increase of ownership in subsidiaries		(3)	-
Net cash utilised in financing activities		**(290)**	**(154)**
Net increase in cash and cash equivalents		**949**	**537**
Cash and cash equivalents at the beginning of the period	16	**1,711**	**1,317**
Effect of foreign exchange rate changes on cash and cash equivalents		(68)	(120)
Cash and cash equivalents at the end of the period	16	**2,592**	**1,734**

1. GENERAL

Public Joint Stock Company Polyus (the "Company" or "Polyus") was incorporated in Moscow, Russian Federation, on 17 March 2006.

The principal activities of the Company and its controlled entities (the "group") are the extraction, refining and sale of gold. The mining and processing facilities of the group are located in the Krasnoyarsk, Irkutsk, Magadan regions and the Sakha Republic of the Russian Federation. The group also performs research and exploration works.

The shares of the Company are "level one" listed on the Moscow Exchange. Global Depositary receipts ("GDRs") each representing interest in ½ of an ordinary share in the Company were traded on the main market for listed securities of the London Stock Exchange plc ("LSE"). At 25 July 2023, the UK Financial Conduct Authority has cancelled the listings of the Company's GDRs according to Management request, given current circumstances (including, among other things, the recent imposition of US and UK blocking sanctions against the Company and several subsidiaries, refer to Note 23).

2. BASIS OF PREPARATION AND PRESENTATION

2.1. Going concern

In assessing the appropriateness of the going concern assumption, Management has taken account of the group's financial position, expected future trading performance, its borrowings, available credit facilities and its capital expenditure commitments, expectations of the future gold price, currency exchange rates and other risks facing the group. After making appropriate enquiries, Management considers that the group has adequate resources to continue in operational existence for at least the next 12 months from the date of signing these published interim condensed consolidated financial statements and that it is appropriate to adopt the going concern basis in preparing these published interim condensed consolidated financial statements.

2.2. Basis of preparation of published interim condensed consolidated financial statements

These published interim condensed consolidated financial statements have been prepared by Management based on the consolidated financial statements as of and for the six month ended 30 June 2024 prepared in accordance with International Accounting Standard 34 Interim Financial Reporting ("IAS 34") by excluding information in accordance with Decree of the Government of the Russian Federation dated 4 July 2023 № 1102 "On specific aspects of disclosure and (or) provision of information, subject to disclosure and (or) provision in accordance with the requirements of the Federal Law "On Joint Stock Companies" and the Federal Law "On the Securities Market".

The purpose of these published interim condensed consolidated financial statements is to present consolidated financial position and consolidated financial results of the group excluding information, disclosure of which, in the opinion of the Management, could lead to imposition of additional sanctions by foreign states, national unions and (or) associates, state-owned (interstate) institutions of foreign states or of national unions and (or) associates targeting the group and (or) other persons. Therefore, these published interim condensed consolidated financial statements are not prepared in accordance with IAS 34 and do not replace interim condensed consolidated financial statements prepared in accordance with IAS 34 as far as do not contain all information which is required to be disclosed in accordance with IAS 34 and may not be suitable for any other purposes.

(in millions of US Dollars)

2.3. Basis of accounting

The entities of the group maintain their accounting records in accordance with the laws, accounting and reporting regulations of the jurisdiction in which they are incorporated and registered. The accounting principles and financial reporting procedures in these jurisdictions may differ substantially from those generally accepted under International Financial Reporting Standards ("IFRS"). Accordingly, financial information has been adjusted to ensure that the published interim condensed consolidated financial statements are presented in accordance with the basis described above and accounting policies which are based on the principles of IAS 34, taking into account standards and amendments which were effective as at 1 January 2024.

The published interim condensed consolidated financial statements of the group are prepared on the historical cost basis, except for derivative financial instruments, gold bonds and certain trade receivables, which are accounted for at fair value.

2.4. IFRS standards and amendments first time applied in 2024

The following is a list of new or amended IFRS standards and interpretations that have been applied by the group in these published interim condensed consolidated financial statements:

Title	Subject	Effective for annual periods beginning on or after	Effect on the published interim condensed consolidated financial statements
Amendments to IFRS 7 and IAS 7	Supplier finance arrangements	1 January 2024	No effect
Amendments to IFRS 16	Lease Liability in a Sale and Leaseback	1 January 2024	No effect
Amendments to IAS 1	Classification of Liabilities as Current or Non-Current; Non-current Liabilities with Covenants	1 January 2024	No effect

2.5. IFRS standards and amendments to be applied after 2024

The following standards and interpretations, which have not been applied in these published interim condensed consolidated financial statements, were in issue but not yet effective:

Title	Subject	Effective for annual periods beginning on or after	Effect on the published interim condensed consolidated financial statements
Amendments to IAS 21	Lack of exchangeability	1 January 2025	No effect
IFRS 18	Presentation and Disclosure in Financial Statements.	1 January 2027	No effect
IFRS 19	Subsidiaries without Public Accountability: Disclosures	1 January 2027	No effect
Annual improvements in IFRS	IFRS 1, IAS 7, IFRS 7, IFRS 9, IFRS 10	1 January 2026	No effect

(in millions of US Dollars)

3. SIGNIFICANT ACCOUNTING POLICIES

The same accounting policies, presentation and methods of computation have been followed (except new or amended IFRS standards described above) in these published interim condensed consolidated financial statements as were applied in the group's audited consolidated financial statements for the year ended 31 December 2023.

IAS 34 requires calculation of income tax benefit/expense for interim reporting periods to be based on the expected annual effective income tax rate. Non-taxable / (non-deductible) gains / (losses) on revaluation of certain *Derivative financial instruments* as well as certain other items of less predictable nature are excluded from determining the expected annual effective income tax rate, which may result in significant variations of effective income tax rate between different interim periods.

The group presents its published interim condensed consolidated financial statements in the US Dollar ("USD"), as Management believes it is a more convenient presentation currency for international users of the published interim condensed consolidated financial statements of the group as it is a common presentation currency in the mining industry. As of 30 June 2024, RUB/ US Dollar exchange rate used in the preparation of the published interim condensed consolidated financial statements was 85.75 (31 December 2023: 89.69).

4. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The critical accounting judgements, estimates and assumptions made by Management of the group and applied in the accompanying published interim condensed consolidated financial statements for the six months ended 30 June 2024 are consistent with those applied in the preparation of the consolidated financial statements of the group for the year ended 31 December 2023.

5. SEGMENT INFORMATION

In the first half of 2024, reporting segment Alluvials was classified as discontinued operations and excluded from reporting segment's results for the first half of 2024 and 2023 (Note 12).

The reporting segment's results for the six months ended 30 June were as follows:

	Gold sales		**Adjusted EBITDA**	
Business units	**2024**	**2023**	**2024**	**2023**
Olimpiada	1,283	1,267	1,001	971
Blagodatnoye	505	343	401	256
Natalka	372	320	258	197
Verninskoye	252	229	176	154
Kuranakh	276	155	186	84
Unallocated	-	-	(1)	20
Total	**2,688**	**2,314**	**2,021**	**1,682**

(in millions of US Dollars)

Adjusted EBITDA for continuing operations reconciles to the IFRS reported figures on a consolidated basis as follows:

	Six months ended 30 June	
	2024	**2023**
Operating profit for the period	**1,754**	**1,348**
Depreciation and amortisation	214	232
Equity-settled share-based plans (LTIP) (Note 17)	19	36
Impairment of inventories (Note 14)	-	1
Certain items included in *Other expenses* (special charitable contributions, impairment of property, plant and equipment and loss on disposal of property, plant and equipment and intangible assets)	34	65
Adjusted EBITDA from continuing operations	**2,021**	**1,682**

Gold sales

	Six months ended 30 June	
	2024	**2023**
Refined gold	2,629	2,059
Gold in flotation concentrate	59	255
Total gold sales	**2,688**	**2,314**

Gold sales represent revenue generated from external customers. There were no inter-segment gold sales during the six months ended 30 June 2024 and 2023.

6. COST OF GOLD SALES

	Six months ended 30 June	
	2024	**2023**
Depreciation and amortisation	329	401
Consumables and spares	175	174
Mineral extraction tax	168	144
Employee compensation	150	172
Fuel	70	69
Power	34	43
Other	78	31
Total cost of production	**1,004**	**1,034**
Increase in stockpiles, gold-in-process and refined gold inventories	(281)	(339)
Total	**723**	**695**

7. SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

	Six months ended 30 June	
	2024	**2023**
Employee compensation	118	144
Depreciation and amortisation	24	27
Taxes other than mineral extraction tax and income taxes	8	10
Professional services	4	12
Distribution expenses related to gold flotation concentrate	1	6
Other	21	21
Total	**176**	**220**

(in millions of US Dollars)

8. OTHER EXPENSES

	Six months ended 30 June	
	2024	**2023**
Charitable contributions	41	53
Loss on disposal of property, plant and equipment and intangible assets	4	4
Reversal of impairment of property, plant and equipment	(11)	-
Other	3	(1)
Total	**37**	**56**

9. FINANCE COSTS

	Six months ended 30 June	
	2024	**2023**
Interest on borrowings	317	102
Interest on lease liabilities	5	5
Unwinding of discounts	2	1
Total costs	**324**	**108**
Gain on exchange of interest payments under cross currency swaps	(20)	(15)
Total gain	**(20)**	**(15)**
Net finance costs	**304**	**93**

10. GAIN / (LOSS) ON REVALUATION OF DERIVATIVE FINANCIAL INSTRUMENTS AND INVESTMENTS

	Six months ended 30 June	
	2024	**2023**
Revaluation gain / (loss) on cross currency swaps	47	(289)
Gain on disposal of subsidiaries	41	32
Revaluation gain on gold bonds	1	-
Revaluation loss on currency forward	-	(210)
Other	10	1
Total	**99**	**(466)**

Disposal of subsidiaries

In the first half of 2024, the Group sold 100 percent participation interest in subsidiary which holds the license for exploration activities for a total consideration of USD 64 million (USD 63 million presented in other receivable line at reporting date), recognising a gain on disposal of USD 41 million.

In the first half of 2023, the Group sold 100 percent participation interest in subsidiary which holds the licenses for exploration activities for a total consideration of USD 49 million (net of cash disposed), recognising a gain on disposal of USD 32 million.

(in millions of US Dollars)

11. INCOME TAX EXPENSE AND DEFERRED TAX ASSETS AND LIABILITIES

Income tax expense from continuing operations was as follows:

	Six months ended 30 June	
	2024	**2023**
Current tax expense	197	243
Deferred tax expense / (benefit)	175	(142)
Total income tax expense	**372**	**101**

The corporate income tax rate in the Russian Federation is 20% (17% regional and 3% federal).

	Six months ended 30 June	
	2024	**2023**
Profit before income tax	1,822	654
Income tax at statutory rate applicable to principal entities (20%)	364	131
Effect of the RinvP due to different tax rates (Natalka business unit)	(13)	(32)
Write-off of deferred tax asset on tax loss carried forward	21	-
Tax effect of non-deductible expenses and other permanent differences	-	2
Income tax expense	**372**	**101**

Deferred tax is recognised on differences between the carrying amounts of assets and liabilities in the financial statements of the separate legal entities and the corresponding tax bases used in the computation of taxable profit and are accounted for using the balance sheet liability method.

(in millions of US Dollars)

12. DISPOSAL OF SUBSIDIARIES

In April 2024, the group completed the sale of its entire Alluvials business unit. This transaction, according to Management strategic decisions, allows focusing the group's resources towards largest projects in open pit mining.

The results of the discontinued operations, which have been included in the profit for the year, were as follows:

	Six months ended 30 June	
	2024	**2023**
Gold sales	-	24
Other sales	1	2
Total revenue	**1**	**26**
Cost of gold sales	-	(16)
Cost of other sales	-	(2)
Total cost	**-**	**(18)**
Gross profit	**1**	**8**
Selling, general and administrative expenses	(5)	(5)
Other expenses	(1)	(3)
Operating loss	**(5)**	**-**
Finance costs	(1)	(1)
Interest income	1	-
Foreign exchange gain	-	6
(Loss) / profit before income tax	**(5)**	**5**
Income tax benefit	1	-
(Loss) / profit attributable to discontinued operations	**(4)**	**5**
Gain on disposal of discontinued operations	141	-
Income tax expense on disposal of discontinued operations	(4)	-
Profit from discontinued operations	**133**	**5**

Details of the assets and liabilities disposed of are disclosed in the table below:

	Carrying amount at the date of disposal
Non-current assets	69
Current assets, including:	82
Cash and cash equivalents	5
Non-current liabilities	(25)
Current liabilities	(18)
Total net assets of disposal group	**108**

Details of the net changes in cash and cash equivalents from discontinued operations are disclosed in the table below:

	Six months ended 30 June	
	2024	**2023**
Net cash utilised in operating activities	(13)	(35)
Net cash utilised in investing activities	(7)	(5)
Net decrease in cash and cash equivalents from discontinued operations	**(20)**	**(40)**

(in millions of US Dollars)

13. PROPERTY, PLANT AND EQUIPMENT

	Fixed assets	Stripping activity assets	Capital construction in progress and equipment not installed	Exploration and evaluation assets	Total
Cost	5,420	1,311	1,029	984	**8,744**
Accumulated depreciation and	(2,574)	(339)	(33)	(32)	**(2,978)**
Net book value at 31 December	**2,846**	**972**	**996**	**952**	**5,766**
Additions	4	150	330	56	**540**
Disposal of subsidiaries (Note 10)	-	-	-	(15)	**(15)**
Transfers	133	-	(133)	-	**-**
Disposals	(5)	-	(1)	-	**(6)**
Depreciation charge	(258)	(211)	-	-	**(469)**
Impairment	-	-	1	(1)	**-**
Effect of translation to presentation	(531)	(180)	(211)	(186)	**(1,108)**
Other	-	-	(2)	2	**-**
Cost	4,454	1,177	1,005	834	**7,470**
Accumulated depreciation and	(2,265)	(446)	(25)	(26)	**(2,762)**
Net book value at 30 June 2023	**2,189**	**731**	**980**	**808**	**4,708**
Cost	4,525	1,202	1,235	919	**7,881**
Accumulated depreciation and	(2,314)	(604)	(39)	(25)	**(2,982)**
Net book value at 31 December	**2,211**	**598**	**1,196**	**894**	**4,899**
Additions	2	146	392	49	**589**
Disposal of subsidiaries (Note 12)	(45)	-	(21)	(23)	**(89)**
Transfers	395	-	(383)	(12)	**-**
Disposals	(5)	-	(3)	(1)	**(9)**
Depreciation charge	(226)	(167)	-	-	**(393)**
Reversal of impairment /	-	-	(9)	20	**11**
Effect of translation to presentation	108	26	55	44	**233**
Other	18	-	28	(34)	**12**
Cost	4,930	1,412	1,305	941	**8,588**
Accumulated depreciation and	(2,472)	(809)	(50)	(4)	**(3,335)**
Net book value at 30 June 2024	**2,458**	**603**	**1,255**	**937**	**5,253**

As of 30 June 2024, the carrying value of rights-of-use assets were included in fixed assets in the amount of USD 82 million (31 December 2023: USD 77 million).

(in millions of US Dollars)

14. INVENTORIES

	30 Jun. 2024	31 Dec. 2023
Stockpiles	1,231	957
Gold-in-process	71	61
Inventories expected to be used after 12 months	**1,302**	**1,018**
Stockpiles	290	291
Gold-in-process	160	176
Antimony in gold-antimony flotation concentrate and silver	96	22
Refined gold and gold in flotation concentrate	31	10
Materials and supplies	515	455
Less: obsolescence provision for materials and supplies	(34)	(29)
Inventories expected to be used in the next 12 months	**1,058**	**925**
Total	**2,360**	**1,943**

The carrying value of long-term stockpiles was as follows:

	30 Jun. 2024	31 Dec. 2023
Olimpiada	418	332
Blagodatnoye	285	219
Natalka	242	168
Verninskoye	145	123
Kuranakh	75	64
Titimukhta	36	34
Other long-term ore	30	17
Total long-term stockpiles	**1,231**	**957**

As of 30 June 2024, the group recognised the write-down of long-term stockpiles to net realisable value in the amount of USD 147 million, including USD 139 million - for the Natalka field, USD 2 million - for the Blagodatnoye field and USD 6 million - for the Sukhoi Log field (31 December 2023: USD 141 million, including USD 133 million - for the Natalka field, USD 2 million - for the Blagodatnoye field and USD 6 million - for the Sukhoi Log field).

15. RECEIVABLES

	30 Jun. 2024	31 Dec. 2023
Trade receivables for gold-bearing products	11	86
Other receivables	115	53
Less: expected credit losses for other receivables	(9)	(9)
Total trade and other receivables	**117**	**130**
Reimbursable value added tax	137	129
Other prepaid taxes	1	1
Total taxes receivable	**138**	**130**

As of 30 June 2024, *Advances paid to suppliers and prepaid expenses* included advances for materials and supplies in amount of USD 96 million (31 December 2023: USD 92 million).

(in millions of US Dollars)

16. CASH AND CASH EQUIVALENTS

	30 Jun. 2024	31 Dec. 2023
Current RUB accounts	52	8
Current accounts in other currencies	277	262
Bank deposits denominated in RUB	311	232
Bank deposits denominated in other currencies (primarily CNY)	1,952	1,209
Total	**2,592**	**1,711**

The weighted average interest rate on bank deposits as of 30 June 2024 was 7.79% (31 December 2023: 5.09%)

17. SHARE CAPITAL AND RESERVES

Number of outstanding ordinary shares of the Company were 94,742 thousand at par value of RUB 1 each as of 30 June 2024.

Equity-settled share-based compensation (long-term incentive plan)

PJSC Polyus grants long-term incentive awards according to which the members of Management of the group are entitled to a conditional award in the form of PJSC Polyus’ ordinary shares, which vest upon achievement of financial and non-financial performance targets on expiry of performance periods. Expenses arising from the LTIP are recognised in the published interim condensed consolidated statement of profit or loss within *Selling, general and administrative expenses.*

Dividends

No dividends have been declared and paid during six months ended 30 June 2024 and 2023.

Share buyback

In July 2023, the group approved programme to purchase shares up to of 40,802,741 ordinary shares of the Company (29.99% of total ordinary shares), reflecting maximum amount of transaction of RUB 579,399 million. In August 2023, the group completed the programme and acquired 40,799,587 of the Company’s ordinary shares in the amount of RUB 579,429 million (USD 6,360 million, including costs, related to the programme in the amount of USD 1 million).

Weighted average number of ordinary shares

The weighted average number of ordinary shares used in the calculation of basic and diluted earnings per share ("EPS") is as follows (in thousands of shares):

	Six months ended 30 June	
	2024	**2023**
Weighted average number of ordinary shares in issue – basic EPS	**94,701**	**135,424**
Dilutive effect of potentially issuable shares under LTIP	300	699
Weighted average number of ordinary shares in issue – diluted EPS	**95,001**	**136,123**
Profit after tax attributable to the shareholders of the Company for basic and diluted EPS from continuing and discontinued operations calculation (million USD)	1,585	559
Basic EPS from continuing and discontinued operations (US Dollar per share)	16.74	4.13
Diluted EPS from continuing and discontinued operations (US Dollar per share)	16.68	4.11
Profit after tax attributable to the shareholders of the Company for basic and diluted EPS from continuing operations calculation (million USD)	1,452	552
Basic EPS from continuing operations (US Dollar per share)	15.33	4.08
Diluted EPS from continuing operations (US Dollar per share)	15.28	4.06

18. BORROWINGS

As of 30 June 2024, borrowings were as follows:

	Currency	30 Jun. 2024	31 Dec. 2023
Yuan-denominated bonds due in 2027 with interest rate 3.8%	CNY	620	644
Bonds, nominated in USD	USD	811	1,008
Notes due in 2028 with interest rate 10.4%	RUB	233	222
Notes due in 2029 with noteholders' early repayment option in 2024 with interest rate 7.4%	RUB	233	223
Gold bonds due in 2029 with interest rate 3.1%	-	176	-
Credit facilities	RUB / CNY	6,697	6,464
Lease liabilities	RUB	95	92
Sub-total		**8,865**	**8,653**
Less: current portion of long-term borrowings due within 12 months		(400)	(649)
Long-term borrowings		**8,465**	**8,004**

The weighted average interest rate on credit facilities with financial institutions as of 30 June 2024 was 8.97% (31 December 2023: 7.19%). The weighted average interest rate on lease liabilities as of 30 June 2024 was 11.36% (31 December 2023: 12%).

Gold bonds

In January 2024, the group issued a 5.5-year gold bonds at a coupon rate of 3.10% per annum. The issue size amounted to 2.6 tonnes in gold volumes (USD 167 million). Par value of each gold bond is equivalent to one gramme of gold in monetary value. The monetary par value is calculated in Russian roubles based on the reference price of gold set by the Bank of Russia.

Eurobonds with fixed interest rate due in 2024

In February 2024, in compliance with the terms of the Eurobonds due 2024 (hereinafter “Eurobonds”) and current requirements of Russian legislation, the group transferred RUB-denominated funds earmarked for the last coupon payment, as well as principal payment with respect to Eurobonds, to the holders of Eurobonds whose rights are accounted within the Russian custodian infrastructure. Furthermore, pursuant to the terms of the Eurobonds and in accordance with the instructions received from the Trustee, the group transferred RUB-denominated funds for the last coupon payment and principal payment under the Eurobonds for onward payment to the holders of the Eurobonds whose rights are accounted in foreign depositories. Following the exercise of the above transfers of funds (principal payment in the total amount of USD 321 million), the group confirms the fulfillment of its obligations with respect to all holders of the Eurobonds in accordance with the applicable terms and conditions of the Eurobonds.

Bonds, nominated in USD with payments in RUB

In June 2024, the group issued USD denominated bonds in the amount of USD 150 million with a coupon rate of 6.2% and maturity date in May 2029. The payments under the terms of the bonds are made in RUB equivalent at the USD exchange rate at the respective date of transaction.

Eurobonds with fixed interest rate due in 2028

In June 2024, the group exchanged 450,832 Eurobonds (with nominal amount USD 451 million) into replacement bonds with identical terms, except the RUB is settled as the currency of settlements (at the exchange rate of USD at the date of transaction). The carrying amount of the replacement bonds were USD 449 million at the reporting date and included in Eurobonds due in 2028 line in table above.

Credit facilities in RUB

In the first half of 2024, the group drew down an additional RUB 22,192 million (USD 240 million) under the existing credit facility agreements.

Unused credit facilities

As of 30 June 2024, the group has unused credit facilities in the total amount of USD 2,264 million (31 December 2023: USD 2,328 million).

Other matters

There were a number of financial covenants under several loan agreements in effect as of 30 June 2024 according to which the respective subsidiaries of the Company and the Company itself are limited in their level of leverage and other financial and non-financial parameters.

As of 30 June 2024, the group was in compliance with all financial and non-financial covenants.

(in millions of US Dollars)

19. DERIVATIVE FINANCIAL INSTRUMENTS AND INVESTMENTS

As of 30 June 2024, derivative financial instruments and investments were as follows:

	30 June 2024			31 December 2023		
	Non-Current	Current	Total	Non-Current	Current	Total
Cross currency swaps	7	22	29	-	9	9
Loans receivable	111	39	150	70	38	108
Total derivative financial assets and investments	**118**	**61**	**179**	**70**	**47**	**117**
Cross currency swaps	31	100	131	74	332	406
Total derivative financial liabilities	**31**	**100**	**131**	**74**	**332**	**406**

Cross currency swaps

During the first half of 2024, the group exchanged nominal amounts under several cross currency swaps due to their expiration. Net cash outflow related to payments on expiration of cross currency swaps amounted to USD 248 million. The following terms were in place as of 30 June 2024:

		Nominal		Interest payments
Expiration date	Payment currency	Group pays (currency million)	Group receives (RUB million)	Frequency
October 2024	USD	309	20,000	semi-annually
March 2025	USD	125	8,169	quarterly
April 2025	AED	551	14,111	quarterly
May 2025	USD	150	13,537	quarterly
July 2025	USD	150	13,406	quarterly
February 2028	CNY	1,842	20,000	semi-annually

The following terms were in place as of 31 December 2023:

		Nominal		Interest payments
Expiration date	Payment currency	Group pays (currency million)	Group receives (RUB million)	Frequency
March 2024	USD	125	8,225	quarterly
April 2024	USD	745	49,999	quarterly
October 2024	USD	309	20,000	semi-annually
March 2025	USD	125	8,169	quarterly
February 2028	CNY	1,842	20,000	semi-annually

20. PAYABLES

	30 Jun. 2024	31 Dec. 2023
Trade payables	99	72
Capital expenditures payables	73	87
Employee compensation payable	58	100
Interest payable	91	68
Accrued annual leave	29	25
Other accounts payable and accrued expenses	37	38
Total trade and other payables	**387**	**390**
Social taxes	15	24
Value added tax	19	19
Mineral extraction tax	33	18
Property tax	4	4
Other taxes	8	7
Total taxes other than income tax payable	**79**	**72**

(in millions of US Dollars)

21. RELATED PARTIES

Compensation of the key management personnel for the six months ended 30 June 2024 is disclosed in the table below. Other information of related parties is not disclosed in accordance with Decree of the Government of the Russian Federation dated 4 July 2023 № 1102 "On specific aspects of disclosure and (or) provision of information, subject to disclosure and (or) provision in accordance with the requirements of the Federal Law "On Joint Stock Companies" and the Federal Law "On the Securities Market".

Key management personnel

	Six months ended 30 June	
	2024	**2023**
Equity-settled share-based compensation (LTIP)	16	12
Short-term compensation to key management personnel accrued	12	8
Total	**28**	**20**

22. COMMITMENTS

The land in the Russian Federation on which the group's production facilities are located is owned by the state. The group leases this land through lease agreements, which expire in various years through to 2065. Future lease payments due under lease agreements not included in property, plant and equipment line were as follows:

	30 Jun. 2024	**31 Dec. 2023**
Due within one year	8	10
From one to five years	29	34
Thereafter	53	62
Total	**90**	**106**

The group's contracted capital expenditure commitments are as follows:

	30 Jun. 2024	**31 Dec. 2023**
Projects in Krasnoyarsk	194	208
Project Sukhoi Log	190	175
Project Natalka	94	87
Project Kuranakh	192	80
Project Verninskoye	31	12
Other capital commitments	30	55
Total	**731**	**617**

23. OPERATING ENVIRONMENT

Emerging markets such as Russia are subject to different risks than more developed markets, including economic, political and social, and legal and legislative risks. Laws and regulations affecting businesses in Russia continue to change rapidly, tax and regulatory frameworks are subject to varying interpretations. The future economic direction of Russia is heavily influenced by geopolitical factors, political environment in the country, the fiscal and monetary policies adopted by the government, together with developments in the legal and regulatory environment. Because Russia produces and exports large volumes of oil and gas, its economy is particularly sensitive to the price of oil and gas on the world market.

On 21 February 2022, the President of Russia signed the executive orders on the recognition of the Donetsk People's Republic and the Lugansk People's Republic. On 24 February 2022, a decision to carry out a special military operation in Ukraine was announced In response to these events, the US, UK, EU and other countries have significantly extended sanctions on the Russian Federation, public authorities, officials, businessmen and companies. This resulted in reduced access of the Russian businesses to international capital, import and export markets, decline in capitals markets, drop in GDP and other negative economic consequences. On 21 July 2022, in addition to previously imposed restrictions, the EU and UK banned the import of gold produced in Russia. On 21 September 2022, the President of Russia signed the executive order on partial military mobilization of citizens. On 16 December 2022, the EU banned investments in the Russian mining industry and the supply of various equipment, including industrial. Amidst ongoing events, the group took necessary actions, including expansion of the distribution channels, searching of new suppliers, transfer of cash and cash equivalents to non-sanctioned banks and other. There is a risk of future extensions of sanctions.

On 19 May 2023, the Department of the Treasury's Office of Foreign Assets Control ("OFAC") published a document imposing sanctions targeting the Company, certain members of Management and several subsidiaries. According to General License issued by OFAC, inter alia the equity and debt holders of the Company have to wind down their operations involving the Company until 17 August 2023. The UK and Australia also announced sanctions against the Company on 19 May 2023. The group considers all sanctions imposed on the Company as unjustified. The Company will thoroughly examine the relevant authorities' decisions and the prospect of opposing the sanctions by all legal means.

The group analyses an impact of announced restrictive measures and takes necessary actions to maintaining its operations as normal, delivering on operational goals and proceeding with organic development of its asset portfolio, including reconfiguration of the distribution channels, searching of new suppliers and other. Although the group continues transition to alternative suppliers, full replacement of suppliers who left the Russian market may take a considerable time and involves additional costs and rescheduling of certain investment projects and capital commitments.
The group also cancelled the listing of the Company's GDRs on 25 July 2023 (Note 1).

There is still a high level of uncertainty regarding the impact of possible subsequent changes in the economic situation and the imposed sanctions on future operations and financial position of the group.

24. FAIR VALUE OF FINANCIAL INSTRUMENTS

The carrying value of cash and cash equivalents, current trade and other receivables and accounts payable approximate their fair value given the short-term nature of these instruments. Non-current other receivables are discounted at discount rates derived from observable market input data (Level 2 of the fair value hierarchy in accordance with IFRS 13). Trade receivables for gold-bearing products are carried at fair value through profit or loss (Level 2 of the fair value hierarchy in accordance with IFRS 13).

The fair value of cross-currency swaps is determined using a discounted cash flow valuation technique and is based on inputs (spot currency exchange rates, USD, CNY and RUB interest rates), which are observable in the market and are classified as Level 2 of the fair value hierarchy in accordance with IFRS 13.

Gold bonds are carried at fair value through profit or loss. Changes in the fair value of the gold bonds are recognised within Gain / (loss) on revaluation of derivative financial instruments and investments of the published Interim condensed consolidated statement of profit or loss. The fair value of gold bonds is determined using a discounted cash flow valuation technique and is based on inputs (currency exchange rates, USD interest rates, gold prices and inflation rates), which are observable in the market and are classified as Level 2 of the fair value hierarchy in accordance with IFRS 13.

(in millions of US Dollars)

Borrowings, except gold bonds, are carried at amortised cost. The fair value of the group's borrowings excluding lease liabilities and gold bonds is estimated as follows:

	30 June 2024		31 December 2023	
	Carrying amount	**Fair value**	**Carrying amount**	**Fair value**
Borrowings (Level 2)	6,697	7,982	6,464	7,733
Bonds, nominated in USD (Level 1 / Level 2)	811	718	1,008	951
Yuan-denominated bonds (Level 1)	620	567	644	607
Rouble-denominated bonds (Level 1)	466	426	445	426
Total	**8,594**	**9,693**	**8,561**	**9,717**

The fair value of all of the group's borrowings and Eurobonds is within Level 2 of the fair value hierarchy in accordance with IFRS 13. The fair value of borrowings is determined using a discounted cash flow valuation technique; the discount rate valuation for long-term is determined by reference to the group's traded Rouble-denominated bonds; the discount rate valuation for short-term borrowings is determined by reference to the statistical short-term interest rates published by the Central Bank. The fair value of the Eurobonds is determined using a cash flow valuation technique and is based on inputs (Russian government Eurobond yield, company's own credit risk), which are observable in the market and are classified as Level 2 of the fair value hierarchy in accordance with IFRS 13. The fair value of the Rouble-denominated bonds, Yuan-denominated and USD bonds is within Level 1 of the fair value hierarchy in accordance with IFRS 13, because the Rouble-denominated bonds, Yuan-denominated bonds and USD bonds are publicly traded in an active market.

25. EVENTS AFTER THE REPORTING DATE

The group has evaluated subsequent events through 27 August 2024, the date on which these published interim condensed consolidated financial statements were approved.

On 12 July 2024, the President of the Russian Federation signed the Law No. 176-FZ, which increases corporate profit tax basic rate from 20% to 25% and comes into effect on 1 January 2025. The tax reform will have a significant impact on the group's financial performance for the second half of the year ending 31 December 2024, as well as for subsequent reporting periods. The effect on the group's financial performance, if these changes had come into effect at reporting date, was assessed by the Management of the group as loss in the amount of USD (95) million.

For the period after reporting date and the date of approval of these published interim condensed consolidated financial statements, the group issued loans in the amount of USD 165 million.